The procedure for calculating interest on drawings under product method is as follows:

(i) Multiply each amount withdrawn by the relevant period (in months) to find out the individual product.

(ii) Find out the sum of all the individual products.

(iii) Calculate interest at the prescribed rate for one month by using the following formula.

Interest on drawings = Sum of products x Rate of interest p.a. $\times \frac{1}{12}$

Tutorial note

If the period of interest is taken in days, each amount withdrawn is to be multiplied by the relevant period (in days) to find out the individual product and the following formula is to be used to find out the interest on drawings.

Interest on drawings = Sum of products x Rate of interest p.a. $\times \frac{1}{365}$

Illustration 15

Anbu is a partner in a partnership firm. As per the partnership deed, interest on drawings is charged at 12% p.a. During the year ended 31st December 2018 he drew as follows:

Date	₹
March 1	6,000
June 1	4,000
September 1	5,000
December 1	2,000

Calculate the amount of interest on drawings by using product method.

Solution

Calculation of interest on drawings under product method

Date of drawings	Amount withdrawn ₹	Period up to December 31 (months)	Product ₹
March 1	6,000	10	60,000
June 1	4,000	7	28,000
September 1	5,000	4	20,000
December 1	2,000	1	2,000
Sum of product			1,10,000

Interest on drawings = Sum of product x Rate of interest $\times \frac{1}{12}$

$$= 1,10,000 \times \frac{12}{100} \times \frac{1}{12} = ₹\ 1,100$$

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